Scorched AI Trading Bot

Improvement Roadmap for Live Trading

From $0.20/day to Institutional Quality

A tiered investment plan for maximizing trading performance

Prepared for:	Scorched AI Trading Bot
Date:	March 29, 2026
Current Capital:	$100,343 ($100K starting)
Current Daily Cost:	$0.15-0.25/day ($5-8/month)
Recommendation:	**Tier 3 ($1.00/day / $20 per month)**

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1. Current Performance Summary

After 30 days of live trading with a $100,000 paper portfolio, the bot has produced a modest positive return of +0.34%, with a portfolio value of $100,343. While the unrealized positions are all profitable, the closed trade record reveals structural weaknesses that can be addressed systematically.

Metric	Value	Assessment
30-Day Return	+0.34% ($100,343)	Slightly positive
Closed Trades	12 (5W / 7L)	Below breakeven rate
Win Rate	42%	Needs improvement (target: 55%+)
Avg Win / Avg Loss	+$466 / -$638	Reward/risk ratio: 0.73
Realized P&L	-$2,136	Losses from thesis failures
Unrealized P&L	+$2,479 (5 positions)	All open positions green
Daily Cost	$0.08/day	Extremely cost-efficient
Biggest Losses	FCX (-$1,681), ORCL (-$978)	Thesis identification failures

Current Cost Breakdown

Component	Daily Cost	Monthly
Call 1: Analysis (Sonnet + thinking 16K)	$0.054	$1.62
Call 2: Decision (Sonnet)	$0.012	$0.36
Call 3: Risk Review (Sonnet)	$0.012	$0.36
Call 4: Position Mgmt (Sonnet)	$0.008	$0.24
Call 5: EOD Review (Sonnet)	$0.012	$0.36
Call 6: Playbook Update (Opus)	$0.100	$3.00
Total	**$0.198**	**$5.94**

Improvements Implemented Since Launch (March 29, 2026):

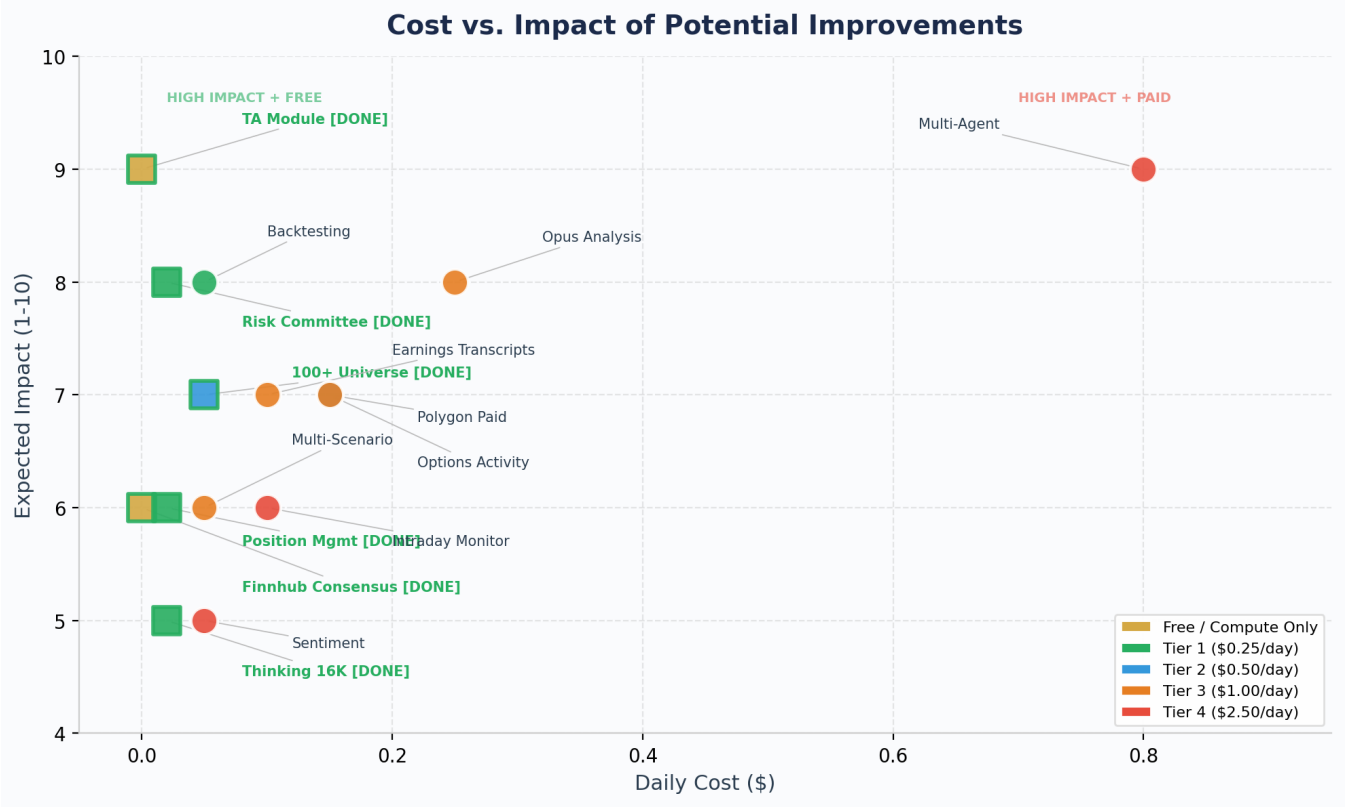
- Full technical analysis suite (MACD, Bollinger Bands, support/resistance, volume profile)
- Analyst consensus and price targets via Finnhub
- Risk committee (adversarial Call 3) challenges weak theses
- Expanded universe to 100+ stocks via S&P 500 momentum screener
- Polygon news descriptions (partial -- not full articles but better than headlines-only)
- Position management, EOD review, and playbook update calls added
- Thinking budget increased to 16K tokens

Remaining Gaps:

- No earnings transcript analysis (management commentary is a leading indicator)
- No unusual options flow detection (smart money signals)
- No sentiment data from social media or news
- No multi-scenario simulation (bull/bear/base cases)
- No intraday monitoring (cannot react to flash crashes)
- 15-minute delayed price data via yfinance
- Polygon free tier provides summaries, not full article text

2. Cost vs. Impact Analysis

The scatter chart below maps each potential improvement by its daily cost and expected impact on trading performance. The upper-left quadrant represents the highest-value improvements: high impact at zero or minimal cost. Color indicates which tier includes each improvement.



Key Insight: Items marked [DONE] in green are already implemented and active in production. The highest-impact free improvements (technical analysis, expanded universe) and the risk committee are all live. The next tier of improvements centers on Opus-quality reasoning for analysis and leading-indicator data sources (earnings transcripts, unusual options activity).

3. Tier 1: Better Decisions [COMPLETED]

$0.25/day ($5/month) | ALL IMPLEMENTED

Improvement	Cost	Details
Technical Analysis Module [DONE]	$0.00/day	MACD, Bollinger Bands, support/resistance, and volume profile computed locally. Fills the biggest analytical gap at zero cost. Implemented March 2026.
Risk Committee Call [DONE]	$0.02/day	Adversarial Call 3 plays devil's advocate, actively trying to poke holes in the trading thesis. Default-reject stance filters weak recommendations.
Finnhub Analyst Consensus [DONE]	$0.00/day	Free API providing analyst price targets and consensus ratings. Adds a "Wall Street sanity check" to every recommendation.
Increase Thinking Budget [DONE]	$0.02/day	Extended thinking budget doubled from 8K to 16K tokens. Gives the analysis call more room for deeper reasoning on complex setups.

Key Message: All Tier 1 improvements have been implemented as of March 29, 2026. The risk committee alone could have prevented the two biggest losses (FCX + ORCL = -$2,659 combined), which exceeds the entire 30-day cost of running this tier for over 5 years. These are now active in production.

4. Tier 2: See More, Know More [MOSTLY DONE]

$0.50/day ($10/month) | 3 of 4 IMPLEMENTED

Improvement	Cost	Details
Everything in Tier 1 [DONE]	--	All Tier 1 improvements implemented and active.
Expand Universe to 100+ Stocks [DONE]	$0.00/day	S&P; 500 momentum screener scans top 30 by 5-day momentum (price > 20d MA, volume > 1M). The bot's best trades came from the screener, not the static watchlist.
Polygon News Descriptions [PARTIAL]	$0.00/day	Free tier now provides article descriptions/summaries, not just headlines. Full article text requires paid tier ($0.15/day) -- not yet upgraded.
Position Management Call [DONE]	$0.01/day	Call 4: EOD position review -- should stops be tightened? Has the thesis changed? Proactive instead of reactive. Active in production.
EOD Review + Playbook Update [BONUS]	$0.07-0.17 /day	Calls 5-6 added beyond original Tier 2 plan: EOD review compares morning thesis vs outcomes (Sonnet), Playbook Update uses Opus to maintain a living strategy document.

Key Message: Most Tier 2 improvements are implemented. The expanded universe and position management are active. Additionally, EOD Review (Call 5) and Playbook Update (Call 6, using Opus) were added beyond the original Tier 2 plan. The only remaining Tier 2 item is upgrading to Polygon paid tier for full article text.

5. Tier 3: Institutional Quality Analysis

$1.00/day ($20/month) | $0.70/day effective

Improvement	Cost	Details
Everything in Tier 2	--	All Tier 1 + Tier 2 improvements carry forward.
Upgrade Call 1 to Opus	$0.25/day	Opus-quality reasoning for the analysis call catches thesis errors that Sonnet misses. The analysis call is where conviction is formed -- it deserves the strongest model.
Earnings Call Transcripts	$0.10/day	Management commentary from recent earnings calls. Leading indicator of fundamental direction that price data alone cannot capture.
Multi-Scenario Simulation	$0.05/day	Run bull/bear/base scenarios for each candidate. Forces explicit consideration of downside risk before entering positions.
Unusual Options Activity	$0.15/day	Smart money flow data. Large unusual options trades often precede significant price moves by 1-5 days -- exactly the bot's holding period.

Key Message: Opus-quality reasoning catches thesis errors that Sonnet misses. Earnings transcripts and options flow are leading indicators -- they tell you what is about to happen, not what already happened. This tier transforms the bot from reactive to predictive.

6. Tier 4: Multi-Agent System

$2.50/day ($50/month) | $1.50/day effective

Improvement	Cost	Details
Everything in Tier 3	--	All Tier 1-3 improvements carry forward.
Full Multi-Agent Pipeline	$0.80/day	Three specialized agents: Macro Analyst (rates, sector rotation, risk-on/off), Stock Analyst (fundamentals, technicals, catalysts), Portfolio Manager (sizing, correlation, risk budget). Each excels at their domain.
Intraday Monitoring	$0.10/day	11 AM and 2 PM check-in calls. Prevents holding through flash crashes or sudden reversals. Enables same-day exits when thesis breaks.
Sentiment Analysis	$0.05/day	Social media and news sentiment scoring. Identifies crowded trades and contrarian opportunities.
Backtesting Framework	$0.05/day (amortized)	Run strategy variants against historical data. Validates ideas before risking real capital. The only way to distinguish skill from luck.

Key Message: Specialized agents each excel at their domain rather than one generalist handling everything. Intraday monitoring prevents holding through crashes. The backtesting framework provides the feedback loop needed to continuously improve strategy parameters.

7. Tier 5: Institutional Grade

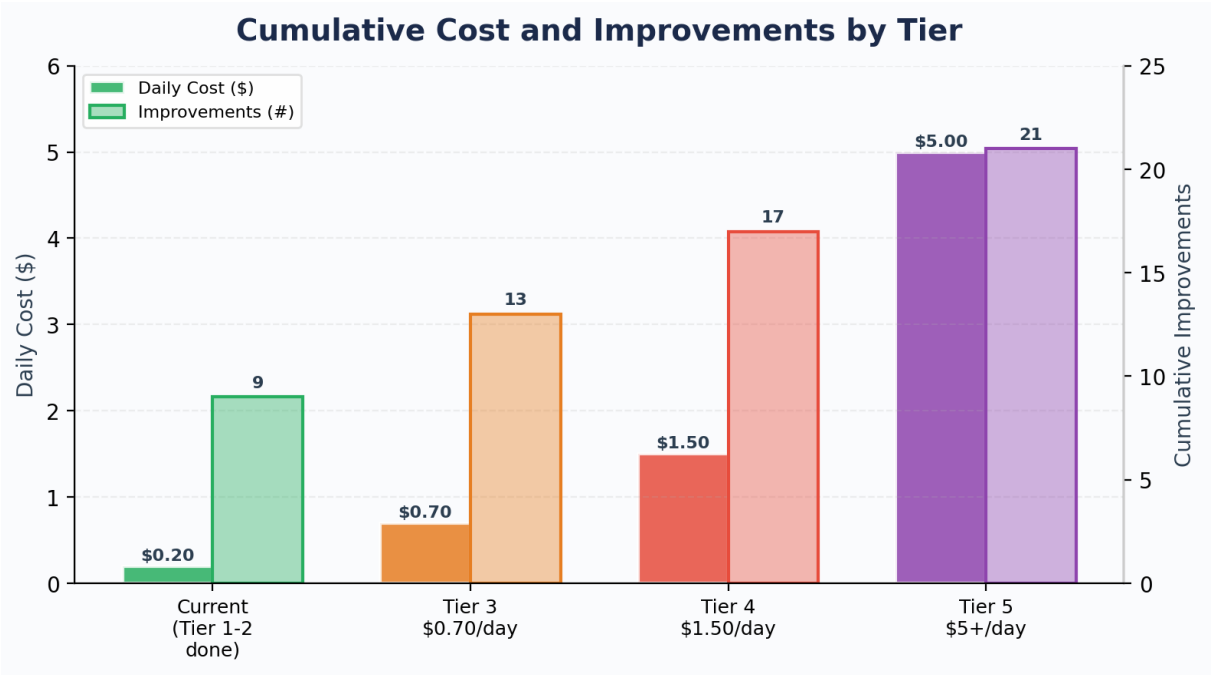
>$5/day ($150+/month) | Variable

Improvement	Cost	Details
Opus Everywhere	$2-5/day	Use Opus for all calls including decision, risk review, and position management.
Bloomberg Terminal API	$65/day	The gold standard for financial data. Real-time, comprehensive, and expensive. Only makes sense at $50K+ capital.
Alternative Data	$2-15/day	Satellite imagery, credit card data, web traffic analytics. Genuine information edge, but expensive.
Full Russell 3000 Universe	$1-3/day	Screen the entire US equity market. Maximum opportunity discovery at maximum compute cost.

Key Message: This tier only makes economic sense at $50,000+ in capital. Bloomberg alone costs $65/day -- 24 times the value of a $1,000 trading account annually. File under "aspirational" until the portfolio justifies it.

8. Cumulative Impact Overview

Each tier builds upon the previous, creating a compounding effect. The chart below shows how daily cost and the number of active improvements scale together across tiers.



Tier	Daily Cost	Monthly	Annual	% of $100K Capital
Current (Tier 1-2 done)	$0.20	$5.94	$72	0.07%
Tier 3	$0.70	$21.00	$256	0.26%
Tier 4	$1.50	$45.00	$548	0.55%
Tier 5	$5.00+	$150+	$1,825+	1.8%+

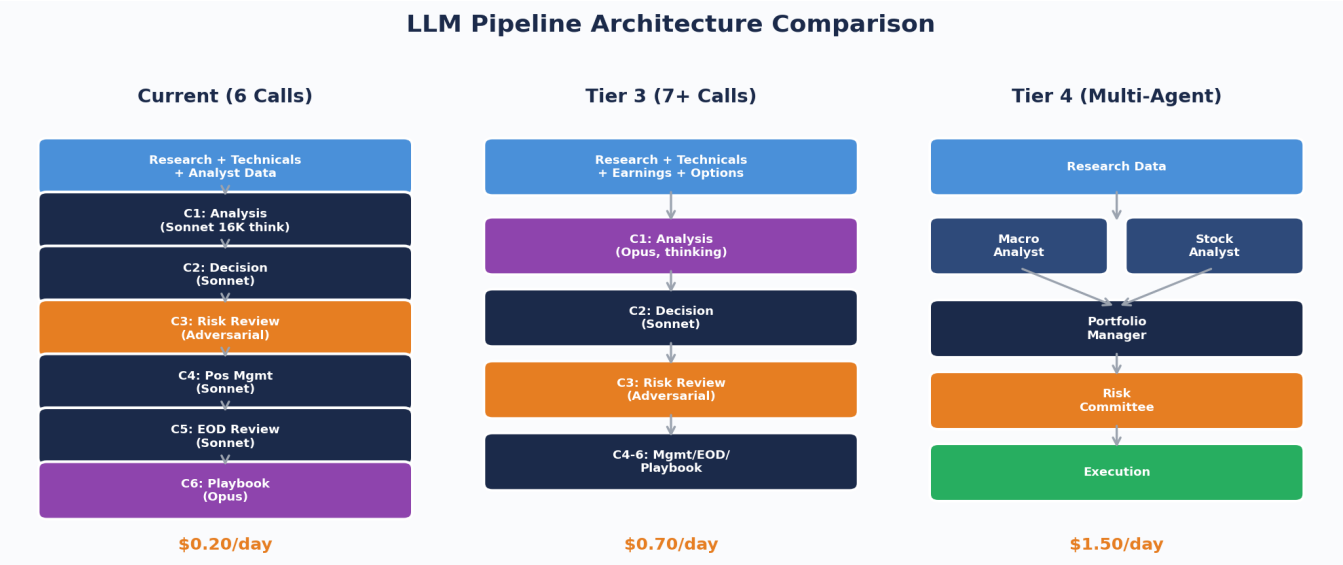
9. Data Source Comparison

The table below shows what data Claude has access to at each tier. Each tier is cumulative -- all capabilities from lower tiers carry forward.

	Current	Tier 3	Tier 4	Tier 5
Price Data (delayed)	YES	YES	YES	YES
Fundamentals	YES	YES	YES	YES
News Headlines	YES	YES	YES	YES
News Descriptions	YES	YES	YES	YES
Full Article Text	--	YES	YES	YES
Macro Indicators (FRED)	YES	YES	YES	YES
RSI (14)	YES	YES	YES	YES
Full Technicals (MACD/BB/S-R)	YES	YES	YES	YES
Analyst Consensus	YES	YES	YES	YES
Risk Committee Review	YES	YES	YES	YES
Position Management	YES	YES	YES	YES
Earnings Transcripts	--	YES	YES	YES
Unusual Options Flow	--	YES	YES	YES
Multi-Scenario Simulation	--	YES	YES	YES
Sentiment (Social/News)	--	--	YES	YES
Real-Time Data	--	--	--	YES

10. LLM Architecture Comparison

The current six-call pipeline includes analysis with extended thinking, a separate decision call, an adversarial risk committee, position management, EOD review, and an Opus-powered playbook update. Tier 3 upgrades the analysis call to Opus and adds earnings/options data. Tier 4 implements a full multi-agent system with specialized roles.



	Current	Tier 3	Tier 4
Claude Calls/Day	6	7+	8-10
Models Used	Sonnet + Opus	Opus + Sonnet	Opus + Sonnet
Adversarial Review	Risk Committee	Risk Committee	Full Committee
Specialization	Generalist + Skeptic	Opus Analysis + Skeptic	3 Specialists
Position Monitoring	EOD (Call 4-5)	EOD + Intraday	Intraday (3x)
Estimated Daily Cost	$0.20	$0.70	$1.50

11. Recommendation

RECOMMENDED: Tier 3

$1.00/day | $20/month | $256/year

Why Tier 3?

- **Tier 1 and most of Tier 2 are already implemented.** Technical analysis, risk committee, analyst consensus, expanded universe, position management, EOD review, and playbook update are all active in production at ~$0.20/day.
- **Opus-quality reasoning for analysis** catches thesis errors that Sonnet misses. The analysis call is where conviction is formed -- it deserves the strongest model.
- **Earnings transcripts provide leading indicators** -- management commentary on guidance, margin outlook, and strategic pivots that price data alone cannot capture.
- **Unusual options activity detects smart money.** Large unusual options trades often precede significant price moves by 1-5 days -- exactly the bot's holding period.
- **Multi-scenario simulation forces explicit downside consideration** before entering positions. Bull/bear/base cases prevent over-conviction on single narratives.

Return on Investment:

Annual cost of Tier 3: **$256**
Cost as % of $100K capital: **0.26%**
FCX + ORCL losses (preventable): **$2,659**
Breakeven: Tier 3 pays for itself if it prevents **one bad trade per year**.

At $256/year, Tier 3 represents just 0.26% of capital -- well below the 1-2% expense ratio of most actively managed funds. The Opus upgrade alone could meaningfully improve the win rate from 42% toward the 55%+ target.

Suggested Implementation Timeline

Week	Action	Expected Result
Week 1	Upgrade Polygon to paid tier ($0.15/day)	Full article text improves news analysis quality

Week 2	Upgrade Call 1 to Opus ($0.25/day)	Stronger reasoning catches thesis errors Sonnet misses
Week 3	Add earnings transcript analysis ($0.10/day)	Management commentary as leading indicator
Week 4	Add multi-scenario simulation ($0.05/day)	Explicit bull/bear/base cases for each candidate
Week 5	Add unusual options activity detection ($0.15/day)	Smart money signals improve entry timing
Week 6+	Monitor results and evaluate Tier 4	Data-driven decision on multi-agent pipeline

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